

CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 18, 2026

All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—Expansion Likely to Continue Despite Inflation Flareup: The recent inflation spike largely reflects an energy-driven, supply-side shock. While pass-through effects may persist for a while, slow hiring, moderate wage growth, strong productivity and a still-softening shelter inflation trend suggest inflation is likely to ease again once the supply disruptions resolve. Incoming data indicates that the macro backdrop remains broadly resilient, reinforced by fiscal and monetary policy support, strong corporate profits, Artificial Intelligence (AI)-led investment, and wealth effects. Less driven by employment and labor-income gains, growth remains moderate, however. With the energy-related inflation impulse balancing against still anchored inflation expectations and limited signs of overheating, the Federal Reserve (Fed) is likely to remain on hold. Absent a sustained increase in inflation expectations, or a sharp rise in real rates unrelated to strengthening growth, the expansion appears durable, a positive for risk assets and investor sentiment.

Market View—Has Europe's Equity Performance Peaked?: Europe led the outperformance in international markets in 2025 as fiscal policy was loosened both at the European Union (EU) level and under the incoming coalition government in Germany, and as value sectors outperformed. And Europe's strength relative to the S&P 500 Index extended into the early part of 2026. But European markets have since given up their return advantage, particularly since the late-February onset of the conflict in the Middle East. Though we remain tactically cautious on European markets, we continue to favor a strategic allocation to the region and see pockets of potential opportunity on a country, sector and industry basis.

Thought of the Week—Rethinking Summer Seasonality: U.S. Equities look to be heading into the summer with a stronger backdrop than traditional seasonality would suggest. While the "Sell in May and go away" narrative points to historically softer returns during the summer months, recent trends indicate seasonal patterns may be evolving. Over the past decade, May through July have delivered some of the strongest and most consistent returns of the year, with the S&P 500 finishing those months higher, roughly 91%, 82% and 100% of the time, respectively. Combined with strong early year momentum and supportive historical patterns, the outlook remains constructive, in our view, even as periodic volatility—particularly in a midterm year—may lead to some episodic volatility.

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MACRO STRATEGY ▶

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Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and gross domestic product (GDP) growth remains near or above 2%.

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Expansion likely to continue despite inflation flareup

Chief Investment Office, Macro Strategy Team

Incoming economic data have supported our expectations for resilient U.S. growth in the face of various headwinds. Liquidity conditions have improved meaningfully over the past year as a result of Fed interest rate cuts, the end of quantitative tightening, and easier bank lending standards (Exhibit 1A), helping stabilize economic activity and boosting risk appetite. Fiscal support has also played a role in stabilizing demand, and surging AI-related investment has lifted industrial-sector confidence, activity, and earnings.

As a result, layoffs have remained low, job openings have stabilized (Exhibit 1B), and hiring has rebounded enough to keep unemployment stable near 4.3% in April. Encouragingly, low layoffs, strong profits, declining business credit default rates, improving business sentiment and tight credit spreads point to continued expansion.

Though largely driven by a 60%-plus surge in oil prices as a result of Iran war-related supply disruptions, inflation has also flared up, however, raising concerns about growth and the direction of interest rates. Measured by the consumer price index (CPI), inflation rose at an 8% annualized monthly pace in April. Although less eye-catching, “core” inflation—excluding food and energy—has also accelerated significantly, posting a 4.6% annualized gain in April from 2.4% in March. Both measures remain above the Fed’s 2% target, with year-over-year (YoY) headline inflation at a three-year high of 3.8% and “core” inflation at 2.7%.

The inflation reacceleration, combined with signs of rebounding economic growth, has led markets to quickly price out Fed rate cuts this year. While a prolonged policy pause is anticipated before possible rate cuts later in 2027, chatter of Fed tightening has also intensified, especially following a sharper-than-expected producer price index increase in April that suggests growing wholesale inflation pressures.

The pickup in consumer price inflation also reflects ongoing sharp increases in electricity prices (mainly related to surging AI-driven power demand); spillovers from the Iran war into broader goods and services prices; as well as upside import price pressures following a year of dollar depreciation. Still, inflation is generally expected to end the year at 2.7% to 3%, not far above its 2025 pace. Indeed, absent a further escalation of Hormuz-related supply disruptions, there are reasons to expect inflation to remain contained, allowing for an extended expansion.

In a nutshell, energy shocks tend to generate broader and sustained inflation pressures if they are accommodated by loose monetary or fiscal policy. However, current conditions—soft hiring and moderate labor-income growth, easing shelter inflation underpinnings, and relatively anchored longer-term inflation expectations—suggest the risk of a wage-price spiral remains limited. The expansion still lacks the ingredients for sustained inflation: excessive credit creation, strong wage growth and broad excess demand. Moreover, strong productivity continues to mitigate inflation forces. Here are few details underpinning our view:

- The recent inflation flareup reflects residual tariff pass-through and temporary demand support from large One Big Beautiful Bill Act (OBBBA)-related tax refunds.
- The spike in shelter inflation was caused by one-off data distortions. With slow employment growth, multi-year-high rental vacancies, and cooling market rents (which typically led the shelter inflation index by several months), underlying shelter inflation is likely to remain on a downtrend in coming quarters.
- Much of the recent inflation impulse remains supply- and cost-driven rather than excess-demand-driven. If wage growth and inflation expectations remain anchored, as currently observed, higher energy prices mainly act as a tax on consumers, reducing real purchasing power, constraining demand, and limiting second-round inflation effects.

Investment Implications

A prolonged moderate-growth, profit-rich expansion suggests continued narrow credit spreads and support for Equities, particularly sectors leveraged to AI investment, productivity gains and pricing power. Manufacturing upcycles also tend to be accompanied by Emerging Market outperformance and dollar depreciation.

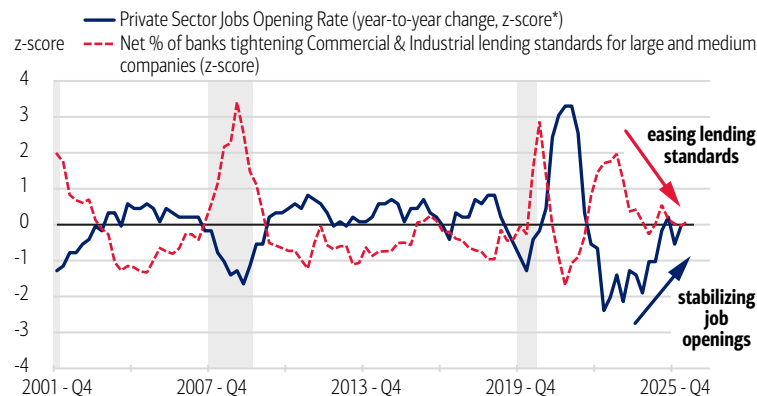
- Jobs have mainly been created in lower-paying services sectors, keeping consumer spending highly uneven across the income distribution.
- According to Fed data, bank lending standards have improved over the past year but remain cautious, inconsistent with excess credit growth and overheating demand (Exhibit 1A).
- The Employment Cost Index, which historically has correlated well with inflation trends, points to limited wage-driven inflation pressures. Accelerating AI adoption and strong productivity growth further restrain unit labor costs, consistent with moderate inflation (Exhibit 1B).
- Equity-market strength has been an important transmission channel of strong capital income into discretionary spending, particularly for higher-income retired baby boomers, who account for a disproportionate share of wealth and consumption.
- While tariff reimbursements—estimated at about \$160 billion this year—are providing a new liquidity impulse, the OBBBA tax cuts/refunds are largely offsetting higher gasoline and utility costs rather than generating substantial incremental demand.
- Most importantly, anchored inflation expectations continue to broadly restrain speculative overinvestment in labor and capital. Businesses still appear to primarily invest in operational efficiency gains in support of profit margins, suggesting sustained downside pressures on labor-income growth.
- With much of the AI investment also offset by related equipment imports, incoming indicators remain consistent with only moderate real GDP growth of about 2.2% this year. Given productivity growth of around 2% to 2.5% and scant labor-force growth, this implies growth near or somewhat below potential, which tends to keep inflation in check.

All in all, growth, and especially corporate profits, have surprised to the upside this year. At the same time, surging AI-related capital expenditures, passthrough of higher energy costs into broader prices, and lingering tariff effects are also keeping inflation higher than anticipated this year. The resulting erosion of real incomes is likely to weigh on consumption, while the sharp rise in producer prices points to margin pressure for firms with limited pricing power, effectively acting as a drag on broader growth.

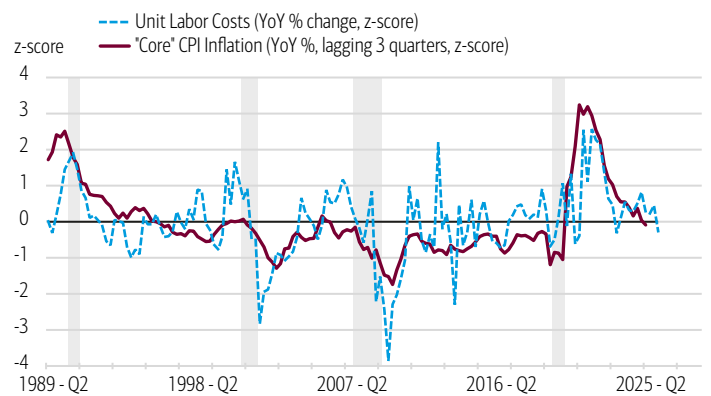
As the Iran supply shock fades, the macroeconomic backdrop suggests an elongated moderate inflation, moderate growth expansion—driven by business investment, strong productivity, durable profits, and support from sustained government deficit spending. Absent a de-anchoring of inflation expectations or a sustained rise in real interest rates relative to growth, in our view the outlook remains supportive for risk assets.

Exhibit 1: Incoming Data Consistent with Moderate Growth and Contained Underlying Inflation Pressures.

A) Bank lending standards in moderate-growth territory.



B) Strong productivity and moderate wage growth suggest benign inflation underpinnings.



*z-score = number of standard deviations from the average of a data set. Gray bars represent recessionary periods. Exhibit 1A) Sources: Bureau of Labor Statistics, Federal Reserve Board/Haver Analytics. Data as of May 13, 2026. Exhibit 1B) Source: Bureau of Labor Statistics/Haver Analytics. Data as of May 13, 2026.

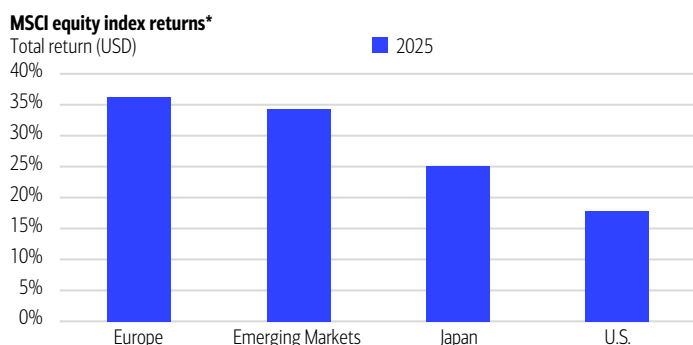
Has Europe's Equity Performance Peaked?

Ehiwario Efeyini, *Director and Senior Investment Strategist*

International Equity markets outpaced U.S. Equities by over 15 percentage points in 2025, their widest margin since the 2008 financial crisis. Europe led the major non-U.S. benchmarks last year as fiscal policy was loosened both at the EU level and under the incoming coalition government in Germany, and as value sectors outperformed. And Europe's strength relative to the S&P 500 extended into the early part of 2026. But European markets have since given up their return advantage, particularly since the late-February onset of the conflict in the Middle East (Exhibit 2).

Exhibit 2: European Equity Return Advantage Has Reversed in 2026.

A) Europe led International Equity gains in 2025.



B) But European markets have lagged in 2026.

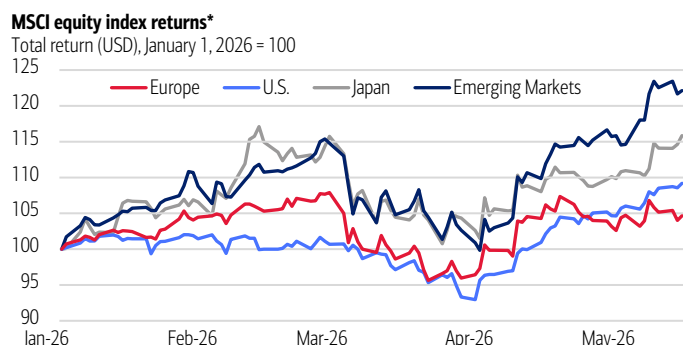


Exhibit 2A and B) Source: Bloomberg. Data as of May 13, 2026. *U.S. market is S&P 500. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trends. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Alongside the Asia-Pacific, household and industrial energy users in Europe are among the most globally exposed to the energy shock. And though Europe is less reliant than Asia on energy imports sourced directly from Persian Gulf, oil and gas account for a higher proportion of its total energy supply. As a share of primary energy consumption, Europe's combined 57% in oil (33%) and natural gas (24%) far exceeds the levels of 26% in China and 34% for the wider Asia-Pacific region in aggregate (which depends more heavily on coal). This leaves it highly vulnerable to an extended period of high prices. And the estimated €4 trillion spent on energy subsidies by European governments in response to the 2022 Russia-Ukraine conflict-driven price spike has left limited capacity for additional support, according to the International Energy Agency.

Relative weakness in European equity markets has been compounded by the surge in technology stocks over recent weeks. Since the start of Q2, the rebound in global equity markets has been led by enablers of the data center investment boom, particularly semiconductors, foundry and semi-cap equipment as the cloud hyperscalers have sustained their capital spending plans. But across the major global benchmarks, Europe remains among the least exposed to these industry groups. As at the end of the first quarter just 12% of its market capitalization was in the Technology sector as a whole, compared to 33% in U.S. and 40% in emerging Asia, according to MSCI.

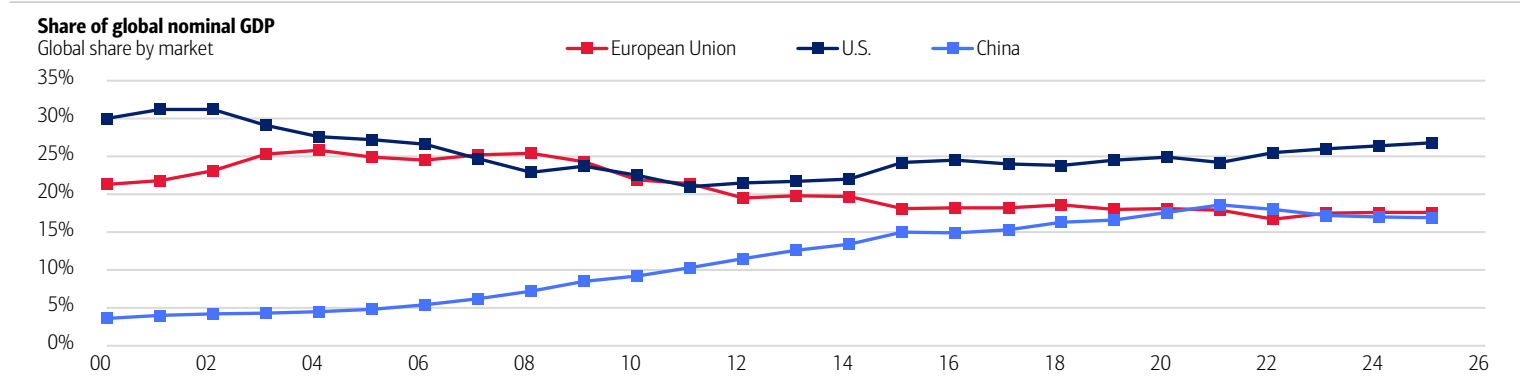
At the same time Europe's exposure to China in two major segments of its Consumer Discretionary sector—autos and luxury goods—poses an additional constraint for its corporate earnings outlook, both in terms of competition and export demand. Germany remains the single largest global passenger car exporter by value. But intensifying competition from China's automakers on price and specification has seen China overtake Germany in volume terms over recent years, becoming the leading unit exporter of passenger vehicles in 2024. Meanwhile China's ongoing slump in property prices, alongside its lackluster labor market and weak consumer confidence remains a headwind for Europe's personal luxury goods categories which have traditionally relied on Chinese demand as a key source of growth. And the emergence of competing domestic luxury brands within China itself has only added to these pressures.

Investment Implications

We remain tactically cautious on European Equities given their vulnerability to the energy shock, relative lack of exposure to growth in AI data center investment, competitive and demand pressures from China in key consumer sectors and a comparatively hawkish central bank monetary policy stance. We nonetheless see individual areas of potential strength along country, sector and industry lines within Europe and continue to favor a strategic allocation to the region.

The Middle East conflict has pushed inflation rates higher on a global basis. And just as in the U.S. where inflation continues to exceed the Fed target, headline inflation in the eurozone stands well above the European Central Bank's (ECB) "below but close to 2%" target range at 3.0% for April. But there has been a marked divergence in approach to the energy shock between the major monetary authorities, and the policy stance of the ECB represents another hurdle for the local equity market. While the Fed maintains an easing bias, the ECB has adopted a more hawkish tone and is expected to hike rates in the near term, potentially at its next meeting in June. This would come as a further relative headwind for the earnings outlook in European markets. Slower trend growth in Europe has already led the EU share of global GDP to fall from 25.4% in 2008 to 17.6% in 2025 (Exhibit 3), while being surpassed by China in 2021. And these challenges could cause Europe's nominal output (the fundamental basis for corporate earnings) to lose further ground to the U.S. and China over the period ahead.

Exhibit 3: Europe's Trend Growth Weakness Reflected in Shrinking Share of Global GDP.



Source: International Monetary Fund. Data as of 2025.

Though we remain tactically cautious on European markets, we nonetheless see pockets of potential opportunity within the region. The shift in fiscal approach away from balanced budgets and toward a much less restrictive stance should be an ongoing source of support for the Industrials sector. The defense industry is likely to remain the biggest beneficiary as proceeds from the €800 billion ReArm Europe program are deployed, particularly given concerns over the diversion of U.S. military support toward the conflict in the Middle East. And the wider sector should also gain from additional funds pledged by the German government for spending on clean energy, transportation and digital infrastructure.

On a country basis, the Netherlands is most exposed to the AI investment boom, with a leading manufacturer of advanced semi-cap equipment accounting for close to 50% of the local market. And as data centers pursue more flexible power generation to supplement energy supply from the grid, demand for German providers of on-site gas turbines should also increase.

The ongoing disruptions to global energy supply and persistently high prices in oil and gas markets should remain a tailwind for the Norwegian market, which has been Europe's top performer in 2026. But at the same time, we would expect to see more countries moving to strengthen their domestic energy security in the wake of the conflict. As global leaders in renewable energy equipment manufacturing, this should leave Danish wind power system developers well positioned. And in southern Europe, Greece is also likely to benefit from its growing role in European energy security. Through its shipping infrastructure for liquefied natural gas (LNG) transportation and regasification, Greece has become a key geographical entry point for LNG imports into the region. And index provider MSCI recently announced plans to upgrade the Greek market to developed status in 2027, largely on the basis of its progress on public sector debt repayments and bank re-privatizations since the 2010 euro crisis. Alongside our tactical caution on Europe, we therefore see individual areas of potential strength on country, sector and industry lines. And we continue to favor a strategic allocation to the region for its geographical diversification, greater exposure to value sectors, higher aggregate dividend yields and lower valuations.

Rethinking Summer Seasonality

Kirsten Cabacungan, Vice President and Investment Strategist

U.S. Equities appear better positioned heading into the summer than the traditional “Sell in May and go away” narrative would suggest. While seasonal patterns have historically pointed to softer returns between May and October, the data present a more nuanced picture. Since 1928, the S&P 500 has averaged a modest 2.5% return during this six-month period, compared to 5.2% from November through April (Exhibit 4A). However, the index was still higher roughly two-thirds of the time.

More importantly, recent trends suggest that seasonality may be evolving. Over the past decade, May through July have delivered some of the strongest and most consistent returns of the year, with the S&P 500 finishing those months higher, roughly 91%, 82%, and 100% of the time, respectively (Exhibit 4B). The broader May–October period has also averaged a solid 6.3% return over the past 10 years. Notably, in the most recent 12-month period, the traditional pattern reversed entirely, with the S&P 500 rising 22.8% from May through October compared to 5.4% in the subsequent November–April period.

This shifting seasonal backdrop is reinforced by strong underlying momentum. The S&P 500 gained 10.4% in April, marking the fourth-strongest April since 1928, behind 1933, 1938 and 2020, and placing the month in the 98th percentile of all monthly returns. In each of the prior instances with stronger April performance, the S&P 500 rallied meaningfully through the remainder of the year, up 30.2% on average. More broadly, April gains above 5% have historically been associated with stronger than average summer returns, with the S&P 500 advancing 11.6% from May through October and finishing positively nearly 80% of the time.

While the midterm election cycle may introduce volatility—historically associated with drawdowns averaging around 18%—forward returns have been resilient. The S&P 500 has delivered positive returns in the 12 months following every midterm election since 1938, with an average gain of 14.8% over that period.

Taken together, evolving seasonality trends and strong early-year momentum support a constructive outlook for stocks. While episodic volatility, particularly in midterm election years, is possible, such pullbacks have historically presented opportunities rather than signaling a shift in trend. Against a backdrop of resilient earnings growth and ongoing structural AI tailwinds, we maintain a favorable view on U.S. Equities into the second half of the year.

Portfolio Positioning

While volatility may persist in the near term, we remain constructive on the outlook and therefore maintain our U.S. Equity overweight. Robust earnings growth, improving breadth across sectors, and strong capital investment supporting the AI infrastructure build out help to reinforce our view. We would view any near-term market weakness as a potential buying opportunity.

Exhibit 4: Equity Market Seasonality: Historical Pattern vs. Recent Trends.

A) Summer seasonality has historically been softer.

Average 6-month Returns for the S&P 500 (1928 – Apr 2026) Sorted Strongest to Weakest		
6-month Period	Average Return	% of Time Positive
Nov-Apr	5.2%	70.4%
Mar-Aug	5.0%	70.4%
Oct-Mar	4.6%	62.2%
Dec-May	4.3%	66.0%
Jul-Dec	4.2%	68.4%
Feb-Jul	4.0%	68.4%
Jan-Jun	3.8%	65.3%
Aug-Jan	3.7%	66.3%
Jun-Nov	3.6%	66.3%
Apr-Sep	3.5%	66.3%
Sep-Feb	3.1%	64.3%
May-Oct	2.5%	66.3%

B) Recent trends challenge the ‘Sell in May’ narrative.

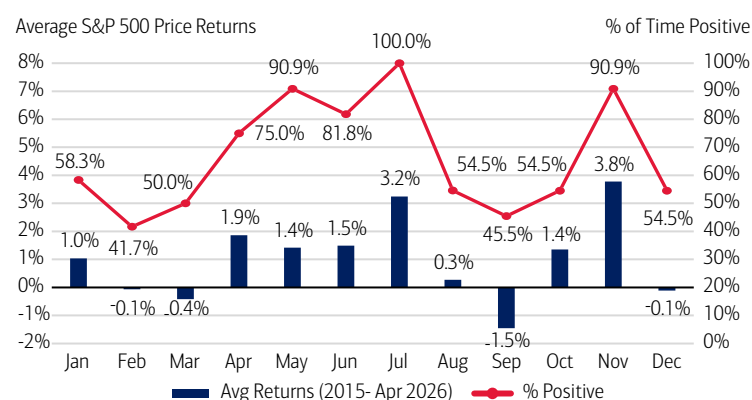


Exhibit 5A) Green represents strongest; red represents weakness. Source: Bloomberg. Average returns from 1928 through April 30, 2026. Data as of April 30, 2026. Exhibit 5B) Source: Bloomberg. Average returns from 2015 through April 30, 2026. Data as of April 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,526.17	-0.1	-0.2	3.6
NASDAQ	26,225.14	-0.1	5.4	13.1
S&P 500	7,408.50	0.2	2.8	8.7
S&P 400 Mid Cap	3,609.80	-2.4	-0.8	9.7
Russell 2000	2,793.30	-2.3	-0.2	13.0
MSCI World	4,741.61	-0.3	1.8	7.6
MSCI EAFE	3,024.90	-1.6	-0.2	5.9
MSCI Emerging Markets	1,668.17	-2.5	4.4	19.5

Fixed Income[†]

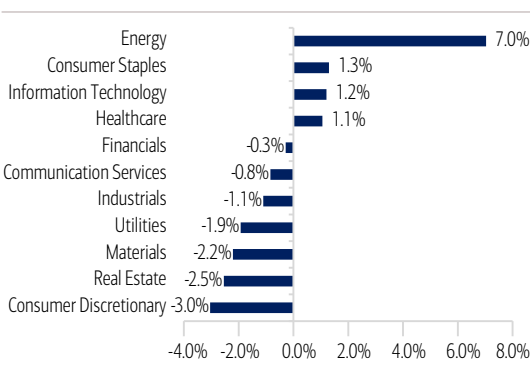
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	-1.08	-0.73	-0.81
Agencies	4.43	-0.66	-0.50	-0.12
Municipals	3.77	-0.58	-0.37	0.59
U.S. Investment-Grade Credit	4.81	-1.14	-0.78	-0.71
International	5.27	-1.04	-0.52	-0.60
High Yield	7.17	-0.49	-0.30	0.88
90 Day Yield	3.66	3.68	3.66	3.63
2 Year Yield	4.07	3.88	3.87	3.47
10 Year Yield	4.59	4.35	4.37	4.17
30 Year Yield	5.12	4.93	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	359.71	1.9	0.4	30.2
WTI Crude \$/Barrel ^{††}	105.42	10.5	0.3	83.6
Gold Spot \$/Ounce ^{††}	4540.08	-3.7	-1.7	5.1

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.16	1.18	1.17	1.17
USD/JPY	158.74	156.68	156.59	156.71
USD/CNH	6.81	6.80	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/04/2026 to 05/08/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 05/15/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/15/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.2	4.1	3.9	3.7	2.3
Core CPI inflation (% y/y ^{**})	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the baseline view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **Past performance is no guarantee of future results. There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of May 15, 2026.

Sources: BofA Global Research; GWIM ISC as of May 15, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Equities	•	•	•	●	•
U.S. Large-cap	•	•	•	●	•
U.S. Mid-cap	•	•	•	●	•
U.S. Small-cap	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Fixed Income	•	●	•	•	•
U.S. Investment-grade Taxable	•	●	•	•	•
International	•	●	•	•	•
Global High Yield Taxable	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments					
Hedge Strategies				•	
Private Equity				•	
Private Credit				•	
Private Real Estate				•	
Tangible Assets				•	
Cash					

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

U.S./S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a statistical metric that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services.

Shelter Inflation Index encompasses both rent and utility payments for renters and the estimated rental cost of similar houses for homeowners.

Employment Cost Index is a quarterly economic metric published by the U.S. Bureau of Labor Statistics that tracks changes in the total cost of labor, including wages, salaries, and employer-provided benefits, free from the influence of employment shifts among occupations and industries.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

MSCI Emerging Markets Index is a financial benchmark designed to measure the performance of large and mid-cap companies across 24 developing nations.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

Producer Price Index is a key economic indicator that measures the average change over time in the selling prices received by domestic producers for their goods and services. Published by the U.S. Bureau of Labor Statistics (BLS), it acts as a crucial gauge of wholesale inflation.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 11, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—Competitive Interdependence: Taking Stock of U.S.-Sino Relations on the Eve of the Summit: The Great Power Rivalry between the U.S. and China is unique because rarely has a strategic rivalry persisted alongside economic and financial entanglements that would be very costly to unwind. Today, the U.S.-China relationship is best understood as partial decoupling on the surface, with deep interdependence underneath. On the eve of the U.S.-China summit, we highlight some key metrics that not only bind the U.S. and China together but also underscore what's at stake. Among the realities investors should recognize: first, the U.S. is still over-reliant on China for a host of strategic minerals and metals at the heart of the U.S. economy. Second, despite chatter about "de-coupling," China is still one of the largest export markets for U.S. goods. Third, exports don't capture the full picture—data on U.S. affiliates suggests China remains an important market for corporate America. Fourth, greater China is one of the most profitable markets in the world for U.S. products, and fifth, China's financial stakes in the U.S. are still significant despite Beijing's efforts to diversify its excess reserves. All the above is another way of saying that there's a great deal riding on this week's summit since bi-lateral trade, investment and capital flows between the two largest economies remain thick and sticky—and mutually beneficial to both parties.

Market View—Don't Mistake Market Narrowness for Weakness: U.S. Equities have staged quite the recovery since their March 30 low. A narrow recovery, that is. Concerns about breadth in the market have returned as just a handful of companies have driven half of the S&P 500 Index's return since the end of March.

Yet the recent resumption of technology leadership doesn't mean underlying fundamentals elsewhere are weak. Quite the opposite, with the median stock in the S&P 500 logging 12% year-over-year (YoY) earnings growth in Q1 or the best growth we've seen in five years. Growth has broadened down the capitalization spectrum and to the wider U.S. economy. Risks remain, yes, and volatility in the face of headlines that change on a dime wouldn't be surprising. But data spanning firms big and small, public and private, and across both Wall Street and Main Street, continuing to point to what remains central to our bullishness: Corporate profits have been expanding and have been far from signaling a weaker economic backdrop. That's good news for U.S. investors.

Thought of the Week—Along the Same Distorted Lines...: Artificial Intelligence's (AI) outsized influence on both equity markets and the broader economy is increasingly shaping performance, earnings and growth dynamics. In Equities, leadership has narrowed once again since the onset of the Middle East conflict, driven by AI-adjacent sector outperformance. Meanwhile, AI-driven investment has meaningfully added to economic growth, with related categories contributing a growing share to headline gross domestic product (GDP). From a portfolio perspective and given the potential for market rotations, there is value in maintaining a well-diversified portfolio.

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MACRO STRATEGY ►

MARKET VIEW ►

THOUGHT OF THE WEEK ►

MARKETS IN REVIEW ►

Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and GDP growth remains near or above 2%.

Competitive Interdependence: Taking Stock of U.S.-Sino Relations on the Eve of the Summit

Joseph P. Quinlan, Managing Director and Head of Market Strategy

The Great Power Rivalry between the U.S. and China is unique because rarely has a strategic rivalry persisted alongside economic and financial entanglements that would be very costly to unwind. Today, the U.S.–China relationship is best understood as partial decoupling on the surface, with deep interdependence underneath.

Hence, on the eve of the U.S.-China summit, we outline some key metrics that not only bind the U.S. and China together but also underscore what’s at stake as the two parties prepare to meet.

One, while China’s share of U.S. goods imports has declined from 21.6% in 2017 to 9.0% in 2025, and to just 7.5% in Q1 2026, the U.S. remains over-reliant on China for a host of strategic minerals and metals that keep the U.S. economy humming. For instance, of the 60 minerals considered “critical” by the U.S. government, China is the leading producing country for one-third of them. As evident from Exhibit 1A, China’s share of U.S. rare earth imports is now at a near all-time high (nearly 70% of the total in Q1), while China’s overall U.S. import share is at a decade-low.

Two, despite all the chatter about U.S. “de-coupling” and “de-risking,” China remains one of the largest export markets in the world for U.S. goods. Indeed, only Mexico and Canada consumed more U.S. goods exports than China last year. Yes, annual U.S. exports to China have declined over the past few years, but the U.S. still exports more to China each year than what it sends to the United Kingdom, Japan and Germany.

Conversely, the U.S. remains a critical market for China’s merchandise exports—even though China’s exports to the U.S. dropped by roughly 20% last year, the U.S. remained the mainland’s top export destination in 2025 (\$420 billion), ahead of Hong Kong (\$337 billion) and Vietnam (\$199 billion), according to China’s General Administration of Customs. The key takeaway: even with tariffs and geopolitical tensions, U.S.-China bi-lateral total trade flows (\$582 billion in 2025 per the Census Bureau) remain among the largest in the world. Including service trade, the total figures are even higher.

Three, U.S. exports to China don’t even begin to capture how much business U.S. firms do each year in China. A more accurate metric emerges when you consider the presence of U.S. affiliates operating in China. The data is lagged, but, in 2023, the last year of available data from the Commerce Department, some 1,950 U.S. affiliates were operating in China, the fourth-highest total after the U.K., Canada and the Netherlands (Exhibit 1B).

Investment Implications

U.S.–China economic and financial ties are deeper than headlines suggest. Competition in areas like AI is mounting and will likely be a focus for the months to come. Investors could benefit via diversified exposure to technology leaders in both the U.S. and China and other Asian markets.

Exhibit 1: From Minerals to Business Abroad, the U.S. Depends on Beijing.

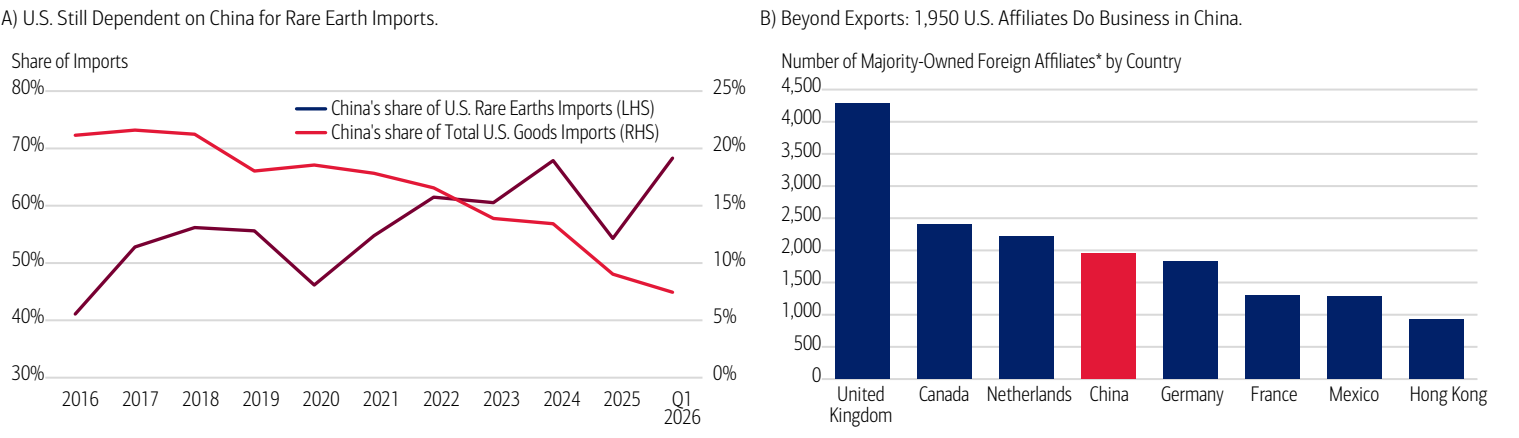


Exhibit 1A) Source: U.S. Census Bureau. Data through March 2026, as of May 5, 2026. Exhibit 1B) *Includes number of affiliates with assets, sales or net income greater than \$25 million. Source: Bureau of Economic Analysis. Data refers to 2023, as of March 2026.

According to the Bureau of Economic Analysis, the in-country assets of these U.S. affiliates totaled \$500 billion, producing some \$85 billion in economic output, while employing nearly 1.2 million Chinese workers. More importantly, U.S. foreign affiliate sales totaled \$475 billion in 2023—a figure some 4.5 times the size of U.S. exports to China and greater than affiliate sales in France, Italy and Spain combined. Suffice to say that whatever the metric—U.S. exports or U.S. affiliate sales—China remains an important market for Corporate America.

It's also a profitable market as well, a **fourth** point to remember. U.S. affiliates earned \$8.3 billion in China in 2025; add in Hong Kong, and the total soars to \$20.5 billion, making Greater China one of the most profitable markets in the world for U.S. products (Exhibit 2A). As a footnote, the S&P 500 derives more than 40% of its revenues internationally, including 7% from China. The Technology sector stands the most exposed (13%) to China while Consumer Discretionary, Energy and Materials each derive 6% to 7% of sales from the region, according to FactSet.

Fifth, and finally, U.S.-China financial links remain quite strong. Although Beijing has been busy diversifying its excess reserves over the past decade, China's financial stakes in the U.S. remain significant. As depicted in Exhibit 2B, China and Hong Kong's combined holdings of U.S. Treasuries totaled nearly \$1 trillion in February 2026, down from a peak of nearly 1.5 trillion in 2015. In addition, as of February, China owned \$150+ billion of U.S. Agency bonds and \$369 billion stake of U.S. Equities. The key takeaway: China remains a significant creditor to debtor America.

Exhibit 2: China Still Significant Source of Profits and U.S. Asset Demand.

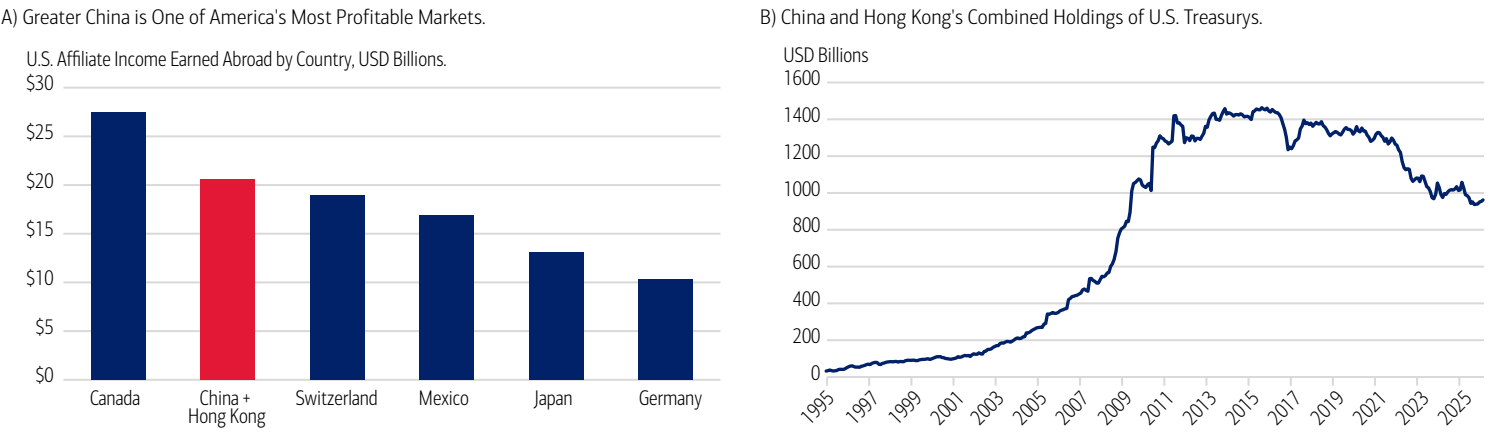


Exhibit 2A) Source: Bureau of Economic Analysis. Data refers to 2025, as of March 2026. Exhibit 2B) Source: U.S. Treasury. Data as of April 15, 2026.

Meanwhile, U.S. ownership of Equities in China hit a record high of \$338 billion in February of this year, reflecting the rising appetite among U.S. investors (institutional and retail) to own some of China's most attractive publicly traded companies.

The Summit: What to Watch For. All the above is another way of saying that there's a great deal riding on this week's summit since bilateral trade, investment and capital flows between the U.S. and China remain thick and sticky—and mutually beneficial to both parties.

That said, the markets will be keenly focused on such topics as tariffs, semiconductor restrictions, access to rare earth minerals and Taiwan. In that the summit is less about fostering a breakthrough on any given topic and more about the maintenance of the world's most important bi-lateral relationship, the fact that the two leaders are even meeting in person is a positive backdrop for the global capital markets, the U.S. included.

Don't Mistake Market Narrowness for Weakness

Ariana Chiu, Assistant Vice President and Investment Strategist

U.S. Equities have staged quite the recovery since their March 30 low. A narrow recovery, that is. Indeed, recent performance has been reminiscent of the AI-supercharged rally of the last couple of years, with just five companies driving half of the S&P 500's 17% total return since the end of March. After a banger start to the year, the S&P 500's equal-weighted counterpart has erased its entire year-to-date (YTD) lead over the market-cap weighted index. Hence renewed concerns about breadth in the market, or the lack thereof.

But the recent resumption of technology leadership doesn't mean underlying fundamentals elsewhere are weak. Yes, narrow performance has reflected narrowness in earnings, with Technology's 2026 earnings estimates revised higher by more than 15% since the start of the year. The sector is now expected to contribute 43% of the S&P 500 earnings growth in Q1. The main driver? Semiconductors and semiconductor equipment, now projected to grow earnings by nearly 75% YoY in 2026. Meanwhile, a handful of big technology companies have reported blowout profits in part driven by one-off investment gains (e.g., Amazon's stake in Anthropic).

And still, contrary to concerns, the average stock isn't flailing. Quite the opposite: The median stock in the S&P 500 is logging 12% YoY earnings growth in Q1, the best growth we've seen in five years. Growth beyond technology is hardly anemic and reflective of a broader economy expanding at a healthy pace. In fact, for all the talk about semiconductors being the sole driver of profit growth, S&P 500 earnings are set to expand by an impressive 14% YoY in 2026 excluding both the Magnificent 7¹ and the semiconductor industry. (For context, the same measure was closer to 5% in 2024 and 9% in 2025.)²

Moreover, sectors including Materials and Utilities have also seen atypical upward revisions this year. That jives with the Institute for Supply Management manufacturing activity gauge in expansionary territory for the fourth straight month in April. Add too the impact of higher oil prices on Energy companies, and the result has been positive earnings estimate revisions for the broader S&P 500 YTD. That's extremely rare per Exhibit 3A, which contrasts this year's path of revisions (up) with the typical path (down). We'd call that good news for U.S. investors.

It's not just the S&P 500. Down the capitalization spectrum, Small- and Mid-cap Equities have quietly followed suit with forward earnings-per-share (EPS) of the S&P 600 and S&P 400 both inflecting higher in recent months (Exhibit 3B).

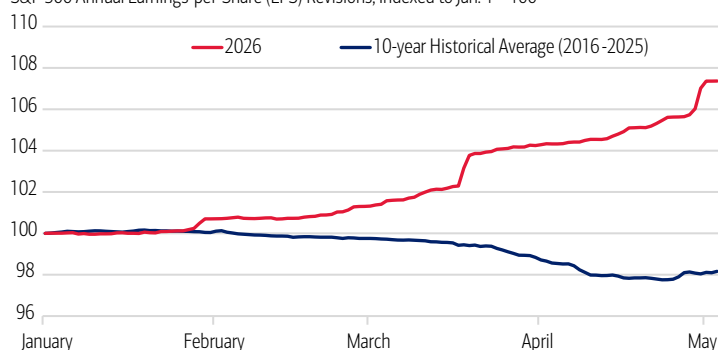
Portfolio Positioning

Earnings strength is the backbone behind our conviction that U.S. Equities can remain resilient this year. Against record capital investment by hyperscalers, we are neutral Technology, underweight Communication Services and prefer capital expenditures (capex) beneficiaries like Industrials. Diversification in portfolios can help defend against volatility and any potential shift in the AI narrative.

Exhibit 3: Earnings On the Up and Up for the S&P 500 and Beyond.

A) This Isn't Normal: 2026 Earnings Revisions vs. the Last 10 Years.

S&P 500 Annual Earnings-per-Share (EPS) Revisions, Indexed to Jan. 1 = 100



B) Earnings Inflecting Higher Across Cap Spectrum.

12-month Forward Earnings-per-Share (EPS)

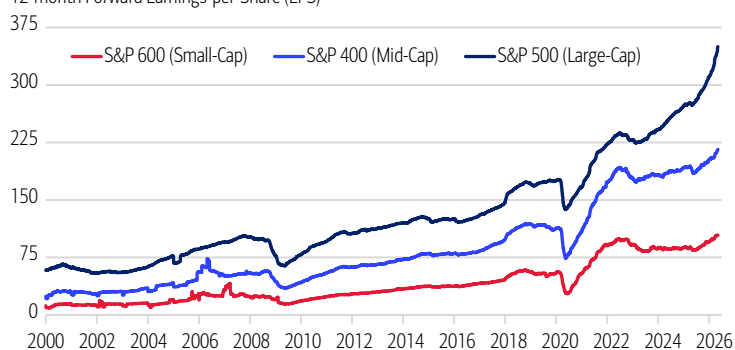


Exhibit 3A) Source: Bloomberg. Data as of May 4, 2026. Exhibit 3B) Source: Bloomberg. Data as of May 6, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

¹ Alphabet, Amazon, Apple, Meta, Microsoft, NVIDIA, Tesla.

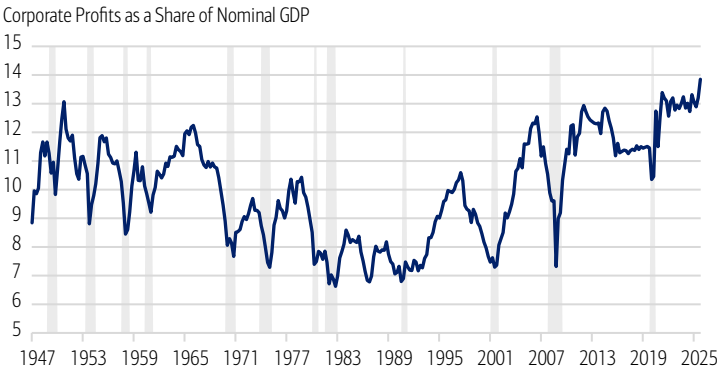
² BofA Global Research as of May 11, 2026.

Zooming out, latest figures from the Bureau of Economic Analysis' National Income and Product Accounts (NIPA) suggest that economywide U.S. corporate profits expanded to a record \$4.4 trillion by the end of 2025. That's nearly 14% of GDP or the highest share in history, as shown in Exhibit 4A. In other words, data spanning firms big and small, public and private, and across both Wall Street and Main Street are pointing to what continues to be central to our bullishness on U.S. Equities: Corporate profits have been expanding and have been far from signaling a weaker economic backdrop.

Of course, profits are in part benefiting from what's shaping up to be a capital expenditure (capex) cycle of the ages. Five hyperscalers are now set to spend over \$700 billion in capex this year alone, more than 70% higher YoY versus \$416 billion in 2025 (See Exhibit 4B to put this year's estimate in perspective). This extraordinary spending on AI data centers, graphics processing units (GPU) and networking has sent semiconductors' revenues climbing, not to mention the physical power, cooling and electrical infrastructure companies required to support data centers. In the near-term, think cash flow pressure on the big spenders while AI suppliers enjoy higher revenues and margins. Hence our overweight to Industrials, for example, while we remain neutral on Information Technology and underweight Communication Services.

Exhibit 4: Corporate Profits at Record Amid Historic Capital Investment.

C) No Recession in Sight with U.S. Corporate Profits at Record Highs.



D) Holy Spend: Putting Hyperscalers' \$700 Billion-Plus Investment in Perspective.

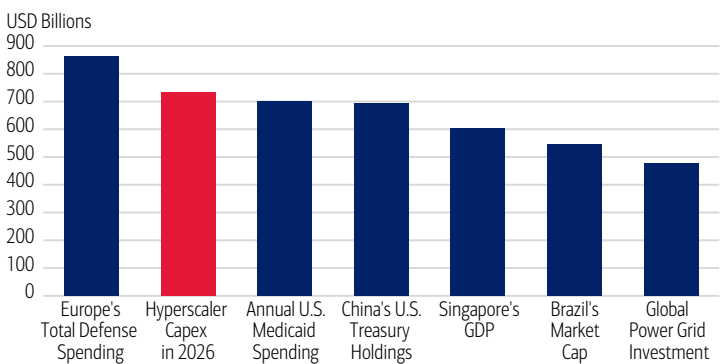


Exhibit 4A) Gray bars represent recessionary periods. Source: Bureau of Economic Analysis. Data as of April 9, 2026. Exhibit 4B) Sources: Stockholm International Peace Research Institute (SIPRI), Bloomberg, company filings, U.S. Treasury, International Monetary Fund, FactSet, BloombergNEF. Europe's total defense spending, Singapore's GDP, and global power grid investment refer to 2025. U.S. Medicaid spending refers to the 12 months ending in March. China's U.S. Treasury holdings refers to February 2026 data. Brazil's market cap as of May 6, 2026. Latest data available.

Looking ahead, the path for U.S. Equities is not without risk. In the near term, we wouldn't be surprised to see some chop and churn should geopolitical conflict reescalate. Weaker returns and higher volatility even in the face of strong growth wouldn't be out of the ordinary in a mid-term election year. Shifting sentiment toward AI also bears watching, particularly given recent parabolic movement in heavyweight semiconductors. The Philadelphia Stock Exchange Semiconductor Index ("SOX") is now some 60% above the index's 200-day moving average, with a handful of names in South Korea and Taiwan soaring in lockstep. Per the latter, this year alone, Taiwan has surpassed France, China and Canada to become the fourth-largest country weight in the MSCI All-Country World Index (behind just the U.S., Japan and the United Kingdom).

But the bottom line is it's hard to go against U.S. Equities with corporate profits and earnings momentum in such good shape. Technology may be dominating performance as of late, amplified in part by its weight in the index, but growth under the surface is broadening to the rest of the economy, in our view. Stay diversified, particularly as headlines shift on a dime, and, remember: Over long periods, Equity returns are primarily driven by corporate earnings growth. It's this fundamental engine that fuels our ongoing bias to the U.S. in portfolios.

Along the Same Distorted Lines...

Lauren Sanfilippo, Director and Senior Investment Strategist

Given its disproportionate impact on market performance, earnings and GDP, AI spans and shapes both the equity market and the economy. From its impact on labor markets and the rerouted trade flows in AI-related goods, to record hyperscaler debt issuance and its growing contribution to earnings and equity performance, AI-driven distortions are becoming increasingly visible. In Equities, this manifests as the reasserted technology/ AI-adjacent narrow leadership. On display there has been the semiconductor sector parabolic move of 44% off the recent March low. Performance-wise, the S&P 500's YTD return of 6% would be a more meager 2.2% gain absent the semiconductor stocks contribution, driven by demand and supply dynamics.³

Investment Implications

The Equity narrowness and GDP contribution of AI seen over the first four months of the year could persist given the basic equation of insatiable demand and structural constraints that are pushing prices and profits for related companies higher.

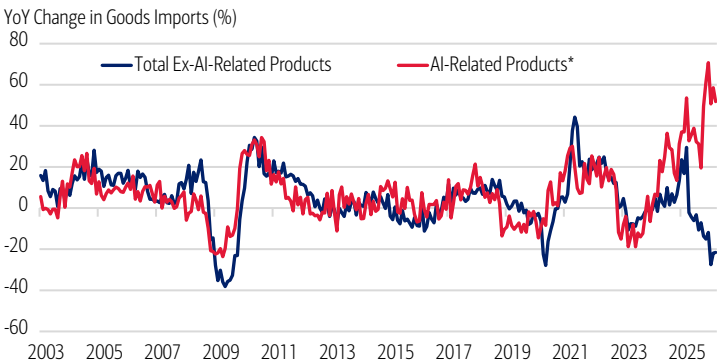
To further gauge AI's contribution see Exhibit 5A that shows the YoY growth in U.S. goods imports for AI and non-AI categories. After moving in tandem for 30 years, imports of semiconductors and related hardware decoupled from all other goods in 2024, with AI-linked demand surging as non-AI imports declined. Since, the divergence has only widened. Take Q1 GDP for another example, that at last check expanded at roughly a 2.0% annualized rate. Business investment in information technology equipment and software contributed approximately 1.5% to overall growth, an extraordinary share that reflects the scale and apparent urgency of AI-related capital deployment across America.

See Exhibit 5B that shows the outperformance of semi and semicap equipment relative to the broader S&P 500 Index over the three-and-a-half years since ChatGPT's launch. Accordingly, semiconductor stocks represent 17% of the S&P 500's market capitalization, ballooning from 5% since ChatGPT's advent. Not abating are semi's earnings estimates, which are on pace for a stunning near-80% EPS growth for this year.

In other words, as semiconductors have become a marginal driver of Equity returns, AI-oriented investment has become a marginal driver of economic growth. And so, the narrowness of the AI-trade festers as AI-driven investment continues to be a central pillar of economic growth. Nonetheless, from a portfolio risk management perspective, we'd incorporate a more varied mix of variables—spanning size, style and sector—to best capture the fits and starts of narrowness and broadening seen this year.

Exhibit 5: The Divergence in AI/non-AI goods imports and Semis Lift-Off.

A) U.S. Imported Goods Disaggregated.



B) Semis and Everything Else.

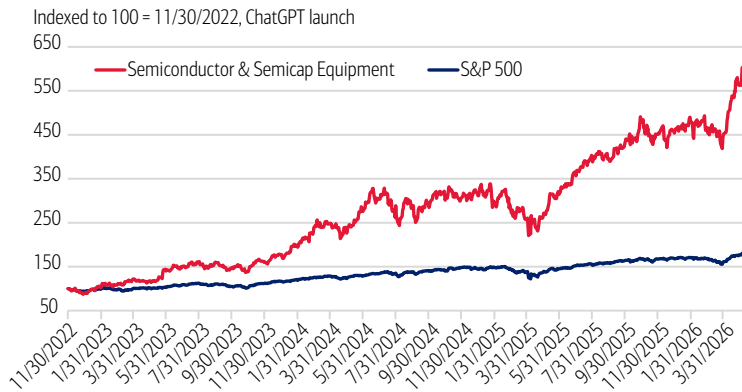


Exhibit 5A) *Includes computer equipment, communications equipment, and semiconductors and other electronic components. Source: Census Bureau, Haver Analytics. Data as of May 5, 2026. Exhibit 5B) Source: Source: Bloomberg. Data as of May 6, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

³ Data as of May 5, 2026. Source: Bloomberg.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,609.16	0.2	-0.1	3.7
NASDAQ	26,247.08	4.5	5.5	13.1
S&P 500	7,398.93	2.4	2.7	8.5
S&P 400 Mid Cap	3,699.83	1.7	1.7	12.4
Russell 2000	2,861.21	1.7	2.2	15.7
MSCI World	4,757.30	1.8	2.1	7.9
MSCI EAFE	3,076.29	1.1	1.4	7.6
MSCI Emerging Markets	1,711.25	6.9	7.0	22.5

Fixed Income[†]

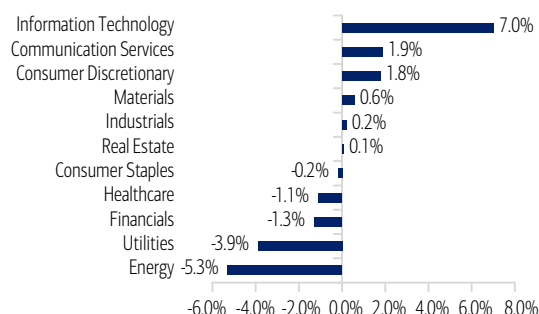
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.51	0.25	0.35	0.27
Agencies	4.25	0.13	0.15	0.53
Municipals	3.66	0.20	0.21	1.18
U.S. Investment-Grade Credit	4.59	0.26	0.37	0.44
International	5.10	0.38	0.52	0.44
High Yield	6.94	0.05	0.18	1.37
90 Day Yield	3.68	3.65	3.66	3.63
2 Year Yield	3.88	3.88	3.87	3.47
10 Year Yield	4.35	4.37	4.37	4.17
30 Year Yield	4.93	4.96	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Commodities				
Bloomberg Commodity	353.05	-1.2	-1.4	27.8
WTI Crude \$/Barrel ^{††}	95.42	-6.4	-9.2	66.2
Gold Spot \$/Ounce ^{††}	4715.25	2.2	2.1	9.2

	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
Currencies				
EUR/USD	1.18	1.17	1.17	1.17
USD/JPY	156.68	157.01	156.59	156.71
USD/CNH	6.80	6.83	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/04/2026 to 05/08/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 05/08/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/8/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.2	4.1	3.8	3.7	2.3
Core CPI inflation (% y/y**)	2.5	2.7	2.6	2.8	2.7	2.5
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of May 8, 2026.

Sources: BofA Global Research; GWIM ISC as of May 8, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	CIO View		
	Underweight	Neutral	Overweight
Global Equities	•	•	•
U.S. Large-cap Growth	•	•	•
U.S. Large-cap Value	•	•	•
U.S. Small-cap Growth	•	•	•
U.S. Small-cap Growth	•	•	•
International Developed	•	•	•
Emerging Markets	•	•	•
Global Fixed Income	•	•	•
U.S. Governments	•	•	•
U.S. Mortgages	•	•	•
U.S. Corporates	•	•	•
International Fixed Income	•	•	•
High Yield	•	•	•
U.S. Investment-grade Tax Exempt	•	•	•
U.S. High Yield Tax Exempt	•	•	•
Alternative Investments			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

CIO Equity Sector Views

Sector	CIO View		
	Underweight	Neutral	Overweight
Industrials	•	•	•
Consumer Discretionary	•	•	•
Financials	•	•	•
Information Technology	•	•	•
Energy	•	•	•
Materials	•	•	•
Utilities	•	•	•
Healthcare	•	•	•
Communication Services	•	•	•
Real Estate	•	•	•
Consumer Staples	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Market-cap Weighted Index is a stock market index where companies are weighted based on their total market capitalization (shares outstanding price), meaning larger companies like Nvidia, Apple, and Microsoft have a greater influence on performance.

S&P 600 Index is a market-capitalization-weighted stock index maintained by S&P Dow Jones Indices that tracks 600 small-sized U.S. companies.

S&P 400 Index is a stock market index from S&P Dow Jones Indices that measures the performance of 400 medium-sized U.S. companies.

Philadelphia Stock Exchange Semiconductor Index ("SOX") is a market-capitalization-weighted index, trading under the symbol ^SOX, that tracks 30 of the largest U.S.-listed companies involved in the design, manufacture, and sale of semiconductors.

MSCI All-Country World Index is a premier global equity benchmark managed by MSCI that tracks the performance of large- and mid-cap stocks across 23 developed and 24 emerging markets.

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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